

Auctions

Auctions are more popular in Victoria than other states – which is why, as a real estate editor based in Melbourne, I have been to hundreds – but it pays to be au fait with how they work regardless of where you are buying. It can be a tricky and intimidating process if you're not prepared, but don't take a chance that the home you desire is going to be sold by another method.

Terminology (in the order you'll hear the words at an auction)

The auctioneer's preamble

In his or her opening address to the crowd, the auctioneer will refer to the contract of sale and conditions under which the property will be sold. It's worth noting that properties sold at auction come under stricter regulations in regards to this than private sales, the difference being that in the case of auctions there is no cooling-off period. Once the sale contract is signed and a deposit paid, the property has officially exchanged hands, and neither party can withdraw from the agreement.

The auctioneer will skim over the main aspects of the contract but at this stage, as a serious wannabe buyer, you should have read it yourself and accept the terms, so listen to this as just a formality.

In the cooling-off period for private sales, the buyer can – for any reason – withdraw strictly within that period and get their deposit back.

Settlement period

After forking out the deposit, this is the period in which you must pay the balance of the property's price to the vendor. This is also in the contract that you would wisely have read prior to bidding.

Reserve